CFA Institute

Practical Skills Module: Financial Modeling

Blu Containers Company

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Financial Model Worksheet - Vertical Orientation

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FMI FINANCIALMODELING INSTITUTE

Blu Containers Company

Summary Outputs

SUMMARY VALUES - BASE CASE

($ Millions)	Trend	2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Income Statement Items									
Net Revenue		$214	$237	$205	$252	$234	$281	$281	$268
Growth			*10.8%*	*(13.4%)*	*23.3%*	*(7.5%)*	*20.4%*	*(0.0%)*	*(4.6%)*
EBITDA		$50	$68	$33	$74	$47	$86	$77	$54
Margin		*23.5%*	*28.9%*	*16.2%*	*29.3%*	*20.2%*	*30.7%*	*27.3%*	*20.3%*
Growth			*36.3%*	*(51.6%)*	*123.2%*	*(36.2%)*	*83.5%*	*(11.3%)*	*(29.2%)*
Net Income		$14	$24	$2	$30	$13	$39	$33	$19
Margin		*6.6%*	*10.0%*	*1.1%*	*11.8%*	*5.5%*	*13.8%*	*11.8%*	*7.2%*
Growth			*68.1%*	*(90.7%)*	*1250.3%*	*(56.6%)*	*201.2%*	*(14.1%)*	*(41.7%)*

SUMMARY VALUES - BEST CASE

($ Millions)	Trend	2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Income Statement Items									
Net Revenue		$214	$237	$205	$264	$245	$297	$300	$282
Growth			*10.8%*	*(13.4%)*	*29.0%*	*(7.4%)*	*21.5%*	*1.1%*	*(6.3%)*
EBITDA		$50	$68	$33	$86	$59	$102	$95	$71
Margin		*23.5%*	*28.9%*	*16.2%*	*32.4%*	*23.9%*	*34.3%*	*31.7%*	*25.1%*
Growth			*36.3%*	*(51.6%)*	*158.4%*	*(31.6%)*	*74.4%*	*(6.7%)*	*(25.9%)*
Net Income		$14	$24	$2	$37	$20	$49	$46	$30
Margin		*6.6%*	*10.0%*	*1.1%*	*14.1%*	*8.3%*	*16.6%*	*15.2%*	*10.7%*
Growth			*68.1%*	*(90.7%)*	*1594.4%*	*(45.3%)*	*141.8%*	*(7.6%)*	*(33.8%)*

SUMMARY VALUES - WORST CASE

($ Millions)	Trend	2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Income Statement Items									
Net Revenue		$214	$237	$205	$238	$220	$263	$260	$245
Growth			*10.8%*	*(13.4%)*	*16.4%*	*(7.7%)*	*19.3%*	*(1.0%)*	*(5.9%)*
EBITDA		$50	$68	$33	$61	$34	$68	$57	$34
Margin		*23.5%*	*28.9%*	*16.2%*	*25.5%*	*15.4%*	*26.0%*	*21.9%*	*14.0%*
Growth			*36.3%*	*(51.6%)*	*83.8%*	*(44.3%)*	*101.4%*	*(16.4%)*	*(40.1%)*
Net Income		$14	$24	$2	$21	$4	$26	$20	$5
Margin		*6.6%*	*10.0%*	*1.1%*	*8.9%*	*1.9%*	*10.1%*	*7.6%*	*2.1%*
Growth			*68.1%*	*(90.7%)*	*865.0%*	*(80.8%)*	*548.1%*	*(25.6%)*	*(74.1%)*

Blu Containers Company

Inputs and Assumptions

GENERAL

- First year of forecast in financial model: 2023
- Three scenarios have been used for Inflation, Product Pricing and sales volume growth

EQUITY

Stock Price - 03/26/26	$11.50
Fully Diluted Shares O/S (MM) - Dec. 31, 2022	14.80
Common Dividend Payout Rate	20.0%

PRODUCT PRICING

- The product pricing cases used in the model are as follows:

Pricing Case	2023 - 2027
Base Case	Research Forecast
Best Case	+4%
Worst Case	(4%)

OPERATIONS

Annual Factory Capacity (000's units):	420

COSTS

Cost Item	2023		Increases
Raw Materials	$226.0	per Unit	Inflation on a unit basis
Utilities	$66.2	per Unit	Inflation on a unit basis
Rent	$23.5	MM	Inflation on a total basis
Operating Labour	$43.5	MM	Inflation on a total basis
Other	$2.0	MM	Inflation on a total basis
SG&A	$3.9	MM	Inflation on a total basis

INTEREST RATES

Interest earned on Cash balances:	1.0%
Interest rate on Bank Revolver:	6.0%
Interest rate on Senior Secured Term Debt:	6.0%

DEPRECIATION

- Depreciation Methodology Used:	Straight Line
- Years remaining for depreciation of existing assets:	25 years
- Years used for depreciation of new assets:	30 years

TAXES

Tax rate assumed in the model:	35.0%

Additional tax assumptions in "Other Assumptions" box

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Inputs and Assumptions

OTHER ASSUMPTIONS		2023	2024	2025	2026	2027
Income Statement						
Cost Adjustments - Gain/(Loss)	MM	$0.0	$0.0	$0.0	$0.0	$0.0
Cash Flow Statement						
Investing Activities - Other	MM	$0.0	$0.0	$0.0	$0.0	$0.0
Capital Expenditures	MM	$16.0	$17.0	$17.3	$17.5	$18.0
Income Tax						
Reduction in EBT for timing differences	MM	$5.0	$5.0	$5.0	$5.0	$5.0
Working Capital Days						
Accounts Receivable	days	48.0	44.0	40.0	40.0	40.0
Inventories	days	70.0	65.0	60.0	60.0	55.0
Prepaid Expenses	days	30.0	30.0	30.0	30.0	30.0
Other Assets	days	3.0	3.0	3.0	3.0	3.0
Accounts Payable	days	40.0	40.0	40.0	40.0	40.0
Other Liabilities	days	10.0	10.0	10.0	10.0	10.0
Change in Debt & Equity						
Senior Term Debt Issuance / (Repayment)	MM	($25.0)	($25.0)	($25.0)	($25.0)	($25.0)
Common Stock Issuance / (Buy-back)	MM	$0.0	$0.0	$0.0	$0.0	$0.0

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Economic and Sales Scenarios

SCENARIO SWITCH:	2023	2024	2025	2026	2027
ECONOMIC SCENARIOS					
Cost Inflation	**2.0%**	**2.0%**	**2.0%**	**2.5%**	**2.5%**
Base Case	2.0%	2.0%	2.0%	2.5%	2.5%
Best Case	1.8%	1.8%	1.8%	2.0%	2.0%
Worst Case	2.5%	2.5%	2.5%	2.5%	2.5%
SALES SCENARIOS					
Sales Price - $/Unit	**800.0**	**725.0**	**825.0**	**800.0**	**750.0**
Base Case	800.0	725.0	825.0	800.0	750.0
Best Case	832.0	754.0	858.0	832.0	780.0
Worst Case	768.0	696.0	792.0	768.0	720.0
Sales Volume Growth	**5.0%**	**4.0%**	**4.0%**	**4.0%**	**4.0%**
Base Case	5.0%	4.0%	4.0%	4.0%	4.0%
Best Case	5.0%	4.0%	5.0%	5.0%	4.0%
Worst Case	4.0%	4.0%	3.0%	3.0%	2.0%

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Revenue Schedule

		2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Pricing									
Gross Sales Price	($/unit)			694.4	800.0	725.0	825.0	800.0	750.0
Cost Inflation	(%)				*2.0%*	*2.0%*	*2.0%*	*2.5%*	*2.5%*
Freight & Warehousing	($/unit)			100.0	102.0	104.0	106.1	108.8	111.5
Net Sales Price	**($/unit)**			**594.4**	**698.0**	**621.0**	**718.9**	**691.2**	**638.5**
Sales Volume									
Annual Factory Capacity	(000's units)				420.0	420.0	420.0	420.0	420.0
Sales Volume Growth	(%)				*5.0%*	*4.0%*	*4.0%*	*4.0%*	*4.0%*
Annual Sales Volume	**(000's units)**			**344.5**	**361.7**	**376.2**	**391.2**	**406.9**	**420.0**
Implied Operating Rate					86.1%	89.6%	93.1%	96.9%	100.0%
Revenue									
Gross Revenue	($ MM)			239.2	289.4	272.7	322.7	325.5	315.0
Freight & Warehousing	($ MM)			34.4	36.9	39.1	41.5	44.3	46.8
Net Revenue	**($ MM)**			**$204.8**	**$252.5**	**$233.6**	**$281.2**	**$281.2**	**$268.2**

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Costs of Production Schedule

		2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Annual Sales Volume	(000's units)			344.5	361.7	376.2	391.2	406.9	420.0
Cost Inflation	(%)					2.0%	2.0%	2.5%	2.5%
COSTS PER UNIT									
Variable Costs									
Raw Materials	($/unit)				226.0	230.5	235.1	241.0	247.0
Utilities	($/unit)				66.2	67.5	68.9	70.6	72.4
Total Variable Costs	**($/unit)**				**292.2**	**298.0**	**304.0**	**311.6**	**319.4**
Fixed Costs									
Rent	($/unit)				65.0	63.7	62.5	61.6	61.2
Operating Labour	($/unit)				120.3	118.0	115.7	114.0	113.2
Other	($/unit)				5.5	5.4	5.3	5.2	5.2
Total Fixed Costs	**($/unit)**				**190.8**	**187.1**	**183.5**	**180.9**	**179.6**
Total Costs	**($/unit)**				**$483.0**	**$485.1**	**$487.5**	**$492.5**	**$499.0**
COSTS IN MILLIONS									
Variable Costs									
Raw Materials	($ MM)				81.7	86.7	92.0	98.1	103.8
Utilities	($ MM)				23.9	25.4	26.9	28.7	30.4
Total Variable Costs	**($ MM)**				**105.7**	**112.1**	**118.9**	**126.8**	**134.1**
Fixed Costs									
Rent	($ MM)				23.5	24.0	24.4	25.1	25.7
Operating Labour	($ MM)				43.5	44.4	45.3	46.4	47.5
Other	($ MM)				2.0	2.0	2.1	2.1	2.2
Total Fixed Costs	**($ MM)**				**69.0**	**70.4**	**71.8**	**73.6**	**75.4**
Total Costs	**($ MM)**				**$174.7**	**$182.5**	**$190.7**	**$200.4**	**$209.6**

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Income Statement

($ Millions)

		2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Sales Volume	(000's units)			344.5	361.7	376.2	391.2	406.9	423.1
Revenue									
Gross Revenue	Rev Schedule	244.8	269.3	239.2	289.4	272.7	322.7	325.5	315.0
Freight & Warehousing	Rev Schedule	31.3	32.7	34.4	36.9	39.1	41.5	44.3	46.8
Net Revenue	**Calc**	**213.5**	**236.6**	**204.8**	**252.5**	**233.6**	**281.2**	**281.2**	**268.2**
Cost of Sales	Cost Schedule	159.9	164.6	167.9	174.7	182.5	190.7	200.4	209.6
S,G & A	Assum	3.4	3.6	3.8	3.9	4.0	4.1	4.2	4.3
Total Costs	**Calc**	**163.3**	**168.2**	**171.7**	**178.6**	**186.5**	**194.8**	**204.5**	**213.8**
Cost Adjustments - Gain/(Loss)	Assumtion	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA		**50.2**	**68.4**	**33.1**	**73.9**	**47.1**	**86.5**	**76.7**	**54.3**
Depreciation	Depr Schedule	15.4	15.5	15.8	16.2	16.7	17.3	17.9	18.5
EBIT	**Calc**	**34.8**	**52.9**	**17.3**	**57.7**	**30.4**	**69.2**	**58.8**	**35.9**
Interest Expense	Debt Schedule	15.0	15.0	14.0	12.0	10.6	9.5	7.6	6.0
EBT	**Calc**	19.8	37.9	3.3	45.7	19.8	59.7	51.3	29.9
Current Income Taxes	Tax Schedule	3.0	8.0	0.0	14.2	5.2	19.1	16.2	8.7
Deferred Income Taxes	Tax Schedule	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Total Income Taxes	**Calc**	5.7	14.2	1.1	16.0	6.9	20.9	17.9	10.5
Net Income		**$14.1**	**$23.7**	**$2.2**	**$29.7**	**$12.9**	**$38.8**	**$33.3**	**$19.4**

Margins								
EBITDA Margin	*23.5%*	*28.9%*	*16.2%*	*29.3%*	*20.2%*	*30.7%*	*27.3%*	*20.3%*
EBIT Margin	*16.3%*	*22.4%*	*8.4%*	*22.9%*	*13.0%*	*24.6%*	*20.9%*	*13.4%*
Return on Equity			*0.9%*	*10.5%*	*4.4%*	*12.0%*	*9.5%*	*5.3%*

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Cash Flow Statement

($ Millions)

					Projected				
		2020A	**2021A**	**2022A**	**2023**	**2024**	**2025**	**2026**	**2027**
Operating Activities									
Net Income	Inc Stmt	14.1	23.7	2.2	29.7	12.9	38.8	33.3	19.4
Depreciation & Amortization	Inc Stmt	15.4	15.5	15.8	16.2	16.7	17.3	17.9	18.5
Deferred Income Taxes	Inc Stmt	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Changes in working capital	WC schedule	0.0	0.0	0.0	(2.1)	6.6	(1.3)	(1.1)	3.2
Operating Cash Flow	calc	**32.2**	**45.4**	**19.1**	**45.6**	**37.9**	**56.6**	**51.8**	**42.9**
Investing Activities									
CAPEX	Assu	(14.1)	(15.0)	(15.5)	(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Other	Assu	(5.0)	4.0	3.0	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	calc	**(19.1)**	**(11.0)**	**(12.5)**	**(16.0)**	**(17.0)**	**(17.3)**	**(17.5)**	**(18.0)**
Financing Activities									
Revolver Issuance / (Repayment	debt Sch	0.0	0.0	0.0	1.1	6.7	(6.5)	(1.2)	2.6
Term Debt Issuance / (Repayme	debt Sch	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Shares Issuance/ (Buy	Equity Sched	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common Dividends	Equity Sched	(2.8)	(4.7)	(2.4)	(5.9)	(2.6)	(7.8)	(6.7)	(3.9)
Financing Cash Flow	Calc	**(27.8)**	**(29.7)**	**(27.4)**	**(29.9)**	**(20.9)**	**(39.3)**	**(32.9)**	**(26.3)**
Change in the Cash Position	CFO+CFI+CFF	(14.7)	4.7	(20.8)	(0.3)	0.0	0.0	1.4	(1.4)
Beginning Cash		31.1	16.4	21.1	0.3	(0.0)	(0.0)	(0.0)	1.4
Ending Cash		16.4	21.1	0.3	0.0	0.0	0.0	1.4	0.0

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Balance Sheet

($ Millions)

					Projected				
		2020A	**2021A**	**2022A**	**2023**	**2024**	**2025**	**2026**	**2027**
ASSETS									
Cash	CFLO	16.4	21.1	0.3	0.0	0.0	0.0	1.4	0.0
Accounts Receivable	WC	27.0	27.8	28.3	33.2	28.1	30.8	30.8	29.4
Inventory	WC	36.5	36.1	35.1	33.5	32.4	31.4	32.9	31.6
Prepaid Expenses	WC	14.6	14.4	14.9	14.4	15.0	15.7	16.5	17.2
Other	WC	1.4	1.8	1.2	1.4	1.5	1.6	1.6	1.7
Total Current Assets	**Calc**	95.9	101.2	79.8	82.5	76.9	79.4	83.3	79.9
Net PP&E	Calc	398.5	398.0	397.7	397.5	397.8	397.8	397.4	397.0
Other	Calc	19.0	15.0	12.0	12.0	12.0	12.0	12.0	12.0
Total Long Term Assets		417.5	413.0	409.7	409.5	409.8	409.8	409.4	409.0
Total Assets		**$513.4**	**$514.2**	**$489.5**	**$492.0**	**$486.7**	**$489.2**	**$492.7**	**$488.9**
LIABILITIES AND EQUITY									
Bank Debt - Revolver	Debt Sched	0.0	0.0	0.0	1.1	7.7	1.2	0.0	2.6
Accounts Payable	WC Sched	18.3	18.7	18.2	19.1	19.9	20.9	22.0	23.0
Other	WC Sched	4.7	4.9	4.8	4.8	5.0	5.2	5.5	5.7
Total Current Liabilities	**Calc**	23.0	23.6	23.0	25.0	32.7	27.4	27.4	31.3
Deferred Income Taxes		0.7	6.9	8.0	9.8	11.5	13.3	15.0	16.8
Senior Secured Term Debt	Debt Sched	250.0	225.0	200.0	175.0	150.0	125.0	100.0	75.0
Total Long Term Liabilities	**Calc**	250.7	231.9	208.0	184.8	161.5	138.3	115.0	91.8
Total Liabilities	**Calc**	**273.7**	**255.5**	**231.0**	**209.8**	**194.2**	**165.6**	**142.4**	**123.1**
Common Shares		120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0
Retained Earnings		119.7	138.7	138.5	162.3	172.6	203.6	230.3	245.8
Shareholder's Equity	**Calc**	**239.7**	**258.7**	**258.5**	**282.3**	**292.6**	**323.6**	**350.3**	**365.8**
Total Liabilities and Equity	**Calc**	**$513.4**	**$514.2**	**$489.5**	**$492.0**	**$486.7**	**$489.2**	**$492.7**	**$488.9**
Check		*0.000*	*0.000*	*0.000*	*0.000*	*0.000*	*0.000*	*0.000*	*0.000*

Blu Containers Company

Depreciation Schedule

($ Millions)

	2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Fixed Asset Beginning				**$397.7**	**$397.5**	**$397.8**	**$397.8**	**$397.4**
Plus: Capex				**16.0**	**17.0**	**17.3**	**17.5**	**18.0**
Years Remaining Existing Assets: 25								
Depreciation Years on New Assets 30								
Depreciation to Existing Assets				$15.9	$15.9	$15.9	$15.9	$15.9
CAPEX								
2023 $16.0				0.3	0.5	0.5	0.5	0.5
2024 $17.0					0.3	0.6	0.6	0.6
2025 $17.3						0.3	0.6	0.6
2026 $17.5							0.3	0.6
2027 $18.0								0.3
Total Depreciation				**$16.2**	**$16.7**	**$17.3**	**$17.9**	**$18.5**
Fixed Asset Ending			**$397.7**	**$397.5**	**$397.8**	**$397.8**	**$397.4**	**$397.0**

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Income Tax Schedule

($ Millions)

Tax Rate	35.0%		Projected 2023	2024	2025	2026	2027
Accounting EBT (as is on I/S)		**A**	**$45.7**	**$19.8**	**$59.7**	**$51.3**	**$29.9**
Less: Reduction in EBT for timing differences [1]			5.0	5.0	5.0	5.0	5.0
Government EBT		**B**	**$40.7**	**$14.8**	**$54.7**	**$46.3**	**$24.9**
Accounting Taxes (35% of A)			16.0	6.9	20.9	17.9	10.5
Taxes as Appearing on Income Statement							
Current Tax (35% of B)			14.2	5.2	19.1	16.2	8.7
Increase (Decrease) in Deferred Income Taxes			1.8	1.8	1.8	1.8	1.8
Total Income Taxes (Same as Accounting Taxes Above)			**16.0**	**6.9**	**20.9**	**17.9**	**10.5**

(1) Assumes aggregate reduction in government pre-tax earnings due to timing differences between accounting and government rules.

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Working Capital Schedule

($ Millions)

		2020A	2021A	2022A	Projected 2023	2024	2025	2026	2027
Days per Year	(days)		365	365	365	366	365	365	365
Income Statement Items									
Net Revenue	($ MM)		236.6	204.8	252.5	233.6	281.2	281.2	268.2
Cost of Sales	($ MM)		164.6	167.9	174.7	182.5	190.7	200.4	209.6
Days In									
Accounts Receivable	(days)		42.9	50.4	48.0	44.0	40.0	40.0	40.0
Inventories	(days)		80.1	76.3	70.0	65.0	60.0	60.0	55.0
Prepaid Expenses	(days)		31.9	32.4	30.0	30.0	30.0	30.0	30.0
Other Assets	(days)		4.0	2.6	3.0	3.0	3.0	3.0	3.0
Accounts Payable	(days)		41.5	39.6	40.0	40.0	40.0	40.0	40.0
Other Liabilities	(days)		10.9	10.4	10.0	10.0	10.0	10.0	10.0
Account Balances									
Accounts Receivable	($ MM)		27.8	28.3	33.2	28.1	30.8	30.8	29.4
Inventories	($ MM)		36.1	35.1	33.5	32.4	31.4	32.9	31.6
Prepaid Expenses	($ MM)		14.4	14.9	14.4	15.0	15.7	16.5	17.2
Other Assets	($ MM)		1.8	1.2	1.4	1.5	1.6	1.6	1.7
Accounts Payable	($ MM)		18.7	18.2	19.1	19.9	20.9	22.0	23.0
Other Liabilities	($ MM)		4.9	4.8	4.8	5.0	5.2	5.5	5.7
Net Working Capital	**($ MM)**		**56.5**	**56.5**	**58.6**	**52.0**	**53.3**	**54.4**	**51.2**
Change in Working Capital	**($ MM)**			**$0.0**	**($2.1)**	**$6.6**	**($1.3)**	**($1.1)**	**$3.2**

Blu Containers Company

Debt and Interest Schedule

($ Millions)

	2022A	2023	2024	2025	2026	2027
		Projected				
FINANCING COMPONENT						
Cash						
Amount Outstanding - Beginning		0.3	(0.0)	(0.0)	(0.0)	1.4
Change in Cash		(0.3)	0.0	0.0	1.4	(1.4)
Amount Outstanding - Ending	$0.3	($0.0)	($0.0)	($0.0)	$1.4	$0.0
Interest Rate		1.0%	1.0%	1.0%	1.0%	1.0%
Annual Interest Income		**$0.0**	**($0.0)**	**($0.0)**	**($0.0)**	**$0.0**
Revolver						
Operating Cash Flow		45.6	37.9	56.6	51.8	42.9
Investing Cash Flow		(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Mandatory Debt Repayments		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Stock Issuance / (Buy-back)		0.0	0.0	0.0	0.0	0.0
Dividends		(5.9)	(2.6)	(7.8)	(6.7)	(3.9)
FCF After Mandatory Debt Repayment and Dividend		**($1.4)**	**($6.7)**	**$6.5**	**$2.6**	**($4.0)**
Revolver Outstanding - Beginning		0.0	1.1	7.7	1.2	0.0
Additions / (Repayments)		1.1	6.7	(6.5)	(1.2)	2.6
Revolver Outstanding - Ending	$0.0	$1.1	$7.7	$1.2	$0.0	$2.6
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		**$0.0**	**$0.1**	**$0.5**	**$0.1**	**$0.0**
Senior Secured Term Debt						
Amount Outstanding - Beginning		200.0	175.0	150.0	125.0	100.0
Additions / (Repayments)		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Amount Outstanding - Ending	$200.0	$175.0	$150.0	$125.0	$100.0	$75.0
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		**$12.0**	**$10.5**	**$9.0**	**$7.5**	**$6.0**
Net Interest Expense		**$12.0**	**$10.6**	**$9.5**	**$7.6**	**$6.0**

Blu Containers Company

Shareholders' Equity Schedule

($ Millions)

		Projected				
	2022A	**2023**	**2024**	**2025**	**2026**	**2027**
Common Shares						
Amount Outstanding - Beginning		120.0	120.0	120.0	120.0	120.0
New Issuance / (Buy-Back)		0.0	0.0	0.0	0.0	0.0
Amount Outstanding - Ending	$120.0	$120.0	$120.0	$120.0	$120.0	$120.0
Dividend Payout Rate		20.0%	20.0%	20.0%	20.0%	20.0%
Net Income		29.7	12.9	38.8	33.3	19.4
Common Dividend		**$5.9**	**$2.6**	**$7.8**	**$6.7**	**$3.9**
Retained Earnings						
Amount Outstanding - Beginning		138.5	162.3	172.6	203.6	230.3
Net Income		29.7	12.9	38.8	33.3	19.4
Common Dividend		(5.9)	(2.6)	(7.8)	(6.7)	(3.9)
Amount Outstanding - Ending	**$138.5**	**$162.3**	**$172.6**	**$203.6**	**$230.3**	**$245.8**